Category

Corporate Governance: Conflicts, Mechanisms, Risks, and Benefits

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CORPORATE GOVERNANCE MECHANISMS

Learning Outcome

- describe corporate governance and mechanisms to manage stakeholder relationships and mitigate associated risks

Given the complex ecosystem of stakeholders in a corporation, the rights, responsibilities, and powers of each must be taken into consideration when establishing an appropriate governance structure by striking a balance among the interests of these groups while meeting corporate objectives. A sound governance structure seeks to ensure that a corporation has mechanisms in place that not only facilitate adherence to rules and regulations imposed by external authorities but also meet the unique requirements of internal stakeholders.

Corporate Reporting and Transparency

Corporate reporting and transparency are foundational to governance. Without them, external stakeholders would be unaware of the company's performance and position, and thus their ability to advocate for their interests would be severely weakened. Given its importance, reporting is mandated and regulated through legal, regulatory, and quasi-regulatory means (e.g., exchange listing requirements).

Investors have access to a public company's financial and non-financial information through annual reports, proxy statements, company disclosures, investor relations resources, and other sources. This reporting includes information on a company's operations, strategic objectives, audited financial statements, governance structure, ownership structure, remuneration policies, related-party transactions, and risk factors. Most jurisdictions and stock exchanges require that listed companies' annual financial statements be audited—and interim financial statements reviewed—by third-party independent auditors.

Private companies disclose information to the public only to the extent required by regulations or voluntarily. However, they will disclose information confidentially to their investors, but the content and form of that information are subject to negotiation between stakeholders rather than standardized like the reporting by public companies. Most jurisdictions do *not* require that private companies' disclosures be audited, though private companies are free to obtain an audit, which may improve their terms with investors.

Investors rely on corporate reports and information to:

- assess company performance and that of its directors and managers;
- make valuation and investment decisions;
- vote on key corporate matters or changes; and
- ensure compliance with legal commitments in debt contracts. As it is impractical for individual bondholders to track these bond requirements, a financial intermediary known as a trustee is hired to report on and manage payment administration for bondholders.

Shareholder Mechanisms

As residual owners of the company, shareholders seek to protect their ownership claims through a variety of control mechanisms over the company. While no standard set of shareholder rights exists, global investors usually rely on common rights and mechanisms outlined in the following sections. These mechanisms are often enshrined in securities laws and enforced by regulators.

that are not delegated to the board of directors. Common matters presented for a shareholder vote at AGMs include the following:

- Board member elections
- Appointment of independent auditor
- Approval of annual financial statements, dividends, and director and auditor compensation
- Approval of equity-based compensation plans
- "Say on pay" non-binding votes on compensation plans

Extraordinary general meetings (EGMs) may be called when other resolutions requiring shareholder approval are proposed, or when requested by a specified minimum number of calling shareholders (or proportion of stock outstanding). Matters presented for a shareholder vote at EGMs are idiosyncratic but commonly include the following:

- Special elections of board members, usually proposed by shareholders
- Amendments to bylaws or articles of association
- Mergers and acquisitions, takeovers, and asset sales
- Capital increases
- Voluntary firm liquidation

Shareholders unable to attend a meeting in person usually authorize another party to vote on their behalf in a **proxy voting** process, typically by submitting a ballot electronically or by mail. Proxy voting is the most common form of investor participation in general meetings.

Knowledge Check

1. Which of the following statements about extraordinary general meetings (EGMs) of shareholders is true?

   A. The appointment of external auditors occurs during an EGM.
   B. A corporation provides an overview of corporate performance at an EGM.
   C. An amendment to a corporation's bylaws typically occurs during an EGM.

   Hide Solution

   Solution:

   C is correct. An amendment to corporate bylaws would normally take place during an EGM, which concerns significant changes to a company, such as bylaw amendments. A and B are incorrect, because the appointment of external auditors and a corporate performance overview would typically take place during the AGM.

Shareholder Activism

Shareholder activism involves investor strategies to compel a company to act in a desired manner. The primary motivation of shareholder activists is to increase shareholder value relatively quickly, although some activism involves social, political, or environmental considerations. Shareholder activists often pressure management to act using tactics such as initiating proxy fights, proposing shareholder resolutions, and publicizing issues of contention.

Hedge funds are among the predominant shareholder activists. Unlike most institutional investors, hedge funds base the majority of their fees on returns, granting them a

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to investment restrictions (e.g., limitations on maximum position size, leverage, and ownership of distressed or illiquid securities) that limit these activities, although some large funds use their influence to encourage positive corporate action.

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Knowledge Check

1. Which of the following *best* describes shareholder activists? Shareholder activists:

A. help stabilize a company's strategic direction.
B. have little effect on the company's long-term investors.
C. are unlikely to alter the composition of a company's shareholder base.

Hide Solution

Solution:

A is correct. Shareholder activists often narrow a company's strategic direction to focus on the few things that the company has historically done well, often shedding assets and closing divisions in the process.

B is incorrect, because long-term investors in a company need to consider how shareholder activists affect the company, especially if the company is restructured and management is replaced.

C is incorrect, because an activist *is* likely to change the investment thesis for a company toward restructuring, which may prompt a change in the shareholder base.

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Shareholder Litigation

Shareholder activists may pursue additional tactics, such as litigation or lawsuits. One prominent type is **shareholder derivative lawsuits** (unrelated to financial derivative contracts), which are legal proceedings initiated against the board of directors, management, and/or controlling shareholders by a shareholder deemed to be acting on behalf of the company in place of its directors and officers, who have failed to adequately act for the benefit of the company. In many countries, laws restrict shareholders from pursuing legal action by either imposing minimum shareholder interest thresholds for such lawsuits or prohibiting them altogether.

Corporate Takeovers

Changes in corporate control via a takeover by shareholders or an acquirer may be pursued in several ways. One mechanism is the **proxy contest** (or proxy fight). In a proxy contest, a group seeking a controlling position on a company's board of directors attempts to persuade shareholders to vote for the group. Managerial teams can also be displaced through **tender offers** and **hostile takeovers**, which seek to take over a company through control of the board and thus management. A tender offer involves an invitation to shareholders to sell their interests directly to a group seeking to gain control. A contest for corporate control may attract arbitrageurs and takeover specialists, who facilitate transfers of control by purchasing shares from existing shareholders in the target company and later selling shares to the highest bidder. A hostile takeover is an attempt to acquire a company without the consent of the company's management.

Preservation of employment serves as an incentive for board members and managers to focus on shareholder wealth maximization. The threat of removal, however, can also have negative implications for a company's corporate governance practices if the company adopts anti-takeover measures, such as staggered board elections or a shareholder rights plan (commonly known as a **poison pill**), to reduce the likelihood of an unwanted takeover. Staggered board elections can dilute shareholder voting rights by preventing shareholders from replacing the entire board at any given election. A shareholder rights

Creditor Mechanisms

Creditors, including private lenders like banks as well as public bondholders, have several mechanisms available to protect their interests. The rights of creditors are established by laws and according to contracts executed with the company. Laws vary by jurisdiction but commonly contain provisions to protect creditors' interests and provide legal recourse.

Bond Indenture

The rights of bondholders are established through contracts executed with the company. A **bond indenture** is a legal contract that describes the structure of a bond, the obligations of the company, and the rights of the bondholders. The terms and conditions of lending agreements either require the company to perform certain actions (or meet certain requirements) or prohibit certain actions. Bondholders may also require that certain assets be pledged by an issuer to secure its promise to repay its obligations.

Creditor Committees

In some countries, official creditor committees, particularly for unsecured bondholders, are established once a company files for bankruptcy. Such committees are expected to represent bondholders during bankruptcy proceedings and to protect bondholder interests in restructuring or liquidation.

When a company is struggling to meet its obligations under an indenture, an **ad hoc committee** may be formed by a group of bondholders to approach the company with potential options to restructure their bonds. While members of an ad hoc committee do not officially represent all bondholders, their interests are often aligned with those of the broader bondholder group.

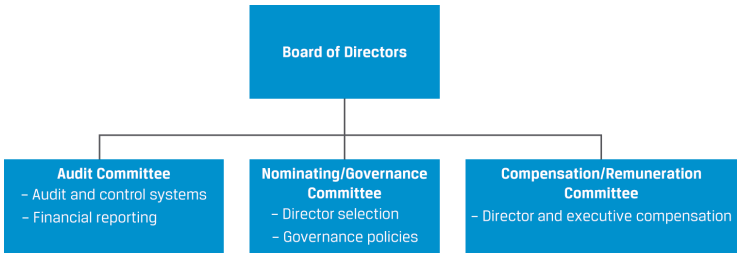
Board and Management Mechanisms

While the board of directors is central to a company's governance structure, boards routinely delegate specific functions to committees composed of a subset of their members. Board committees thoroughly consider, review, monitor, and follow up on matters that fall within their mandates, which may require specific expertise or independence.

Exhibit 2 outlines the three most common board committees (sometimes referred to as "core committees"), recommended by most corporate governance codes and required by some stock exchanges.

Exhibit 2:

Core Board Committees and Key Oversight Functions



These committees provide recommendations and reports to the board on a regular basis. When establishing committees, boards do not delegate their ultimate responsibility nor are they discharged of their duties. The board is required to review, challenge, and assure the content of any reports raised to it by the committees and to make the proper decisions.

Audit Committee

audit committee monitors the issuer's financial reporting process, including the proper selection and implementation of accounting policies according to accounting standards and regulations in order to ensure the integrity of the financial statements. It supervises the internal audit function and ensures its independence and competence. The audit committee is also responsible for recommending the appointment of an independent external auditor and proposing its remuneration. It interacts and holds meetings with the external auditor. It receives reports from the internal and external auditors, proposes remedial actions for highlighted issues or matters, and follows up on them. In some cases, the audit committee may also oversee information technology security.

Nominating/Governance Committee

The nominating, or governance, committee is also typically composed of independent members, in accordance with best practices. This committee appraises director and manager candidates and oversees the board election process. It sets nomination procedures and policies, including board directorship criteria, the search for and identification of qualified candidates for board directorships, and the election process by shareholders. In designing its policies and in nominating candidates to the board, the committee ensures that the structure of the board is balanced and in alignment with governance principles and applicable codes.

The committee also oversees the establishment and enforcement of corporate policies, including:

- a corporate governance code;
- the charter of the board and its committees;
- a code of ethics; and
- a policy on conflicts of interest, among others.

It reviews these policies periodically to incorporate any necessary changes or developments. Most importantly, it ensures implementation of governance policies, compliance with applicable laws and regulations, and the pursuit of appropriate action if any issues or violations are identified. For example, policies on conflicts of interest and related-party transactions require directors and managers to disclose any actual or potential conflict of interest related to the company, as well as any material interests in a transaction that may affect the company.

Compensation/Remuneration Committee

The compensation, or remuneration, committee develops and proposes remuneration policies for the directors and key executives, which often includes setting performance criteria and evaluating manager performance. Executive compensation attracts significant investor attention, with a focus on aligning manager and shareholder interests. The laws in most jurisdictions, as well as best practices, require all compensation committee members to be independent directors because management should not assess its own performance.

Compensation plans often include a variable component—typically profit sharing, stock, or stock options—contingent on corporate or stock price performance. However, stock-based remuneration does not serve its purpose if managers can improve their personal gains at the expense of the company while limiting their exposure to weak stock performance. As a result, companies are increasingly designing incentive plans that discourage "short-termism" or excessive risk-taking by managers. Some incentive plans include granting shares, rather than options, to managers and restricting their vesting or sale for several years or until retirement. A long-term incentive plan delays compensation, either in part or in total, until a company's strategic objectives (typically performance targets) are met.

As a result of laws such as the Dodd-Frank Act in the USA or by choice, issuers are increasingly seeking shareholder views on executive compensation by conducting non-binding "say on pay" votes at the AGM. By allowing shareholders to express their views on

Companies can have multiple other board committees, which are often industry specific. Risk committees—common (in some jurisdictions, required) in the financial services industry—determine the risk profile and appetite of the company and ensure that the company has an enterprise risk management system in place whereby risks are identified, assessed, mitigated, and managed appropriately. Accordingly, risk committees oversee the setting of the risk policy and risk management annual plans and monitor their implementation. Insurance companies often have investment committees that ensure the company has adopted and adheres to rational and prudent investment and capital management policies.

Employee Mechanisms

By managing employee relationships, companies seek to respect employees' rights and avoid legal or reputational risks associated with employment matters. Employee relationship management (sometimes called human capital management) helps firms attract and retain talent and ensure that employees fulfill their responsibilities and are motivated to act in the company's best interest.

Employee rights are primarily protected through jurisdiction-specific labor laws, which define the standards for employees' rights and responsibilities and cover such matters as work hours, post-employment, health care and other benefit coverage, and paid leave. In most countries, employees have the right to form unions. Unions advocate on behalf of members to influence certain matters affecting employees, such as compensation and working conditions. Although not a common practice in many parts of the world, in some countries employees are represented on the board of directors—or supervisory board—of companies meeting certain size or ownership criteria (e.g., in Germany, Austria, and Luxembourg).

At the individual level, employment contracts specify the various rights and responsibilities of the employer and employee. Some companies have an **employee stock ownership plan (ESOP)** to help retain employees and further align their interests with those of the company. As part of an ESOP, a company establishes a fund consisting of shares and/or cash, which are granted to employees based on service or performance criteria and often include vesting periods.

Customer and Supplier Mechanisms

Both customers and suppliers enter into contractual agreements with a company that specify the products and services underlying the relationship, the prices or fees and the payment terms, the rights and responsibilities of each party, the after-sale relationship, and any guarantees. Contracts also specify actions to be taken and recourse available if either party breaches the terms of the contract.

Customers, owners, and other stakeholders increasingly use social media to voice or protect their interests or to enhance their influence on corporate matters. For example, negative media attention can adversely affect the reputation or public perception of a company or its managers and directors. Through social media, these stakeholders can instantly broadcast information with little cost or effort and are thus better able to compete with company management in influencing public sentiment.

Government Mechanisms

Laws and Regulations

Governments and regulatory authorities develop laws that companies must follow and monitor companies' compliance with those laws. Such laws protect and enforce property and contract rights, in addition to protecting the rights of a specific group such as consumers or the environment. Industries whose services, products, or operations are more likely to affect the public or stakeholder interests are typically subject to greater regulation. Examples include financial services, health care, and agriculture and food, as well as industries deemed to be in the national interest (e.g., defense).

disclose their adoption of recommended corporate governance practices or explain why they have not done so, known as a "comply or explain" approach. In Japan, for example, companies with no outside directors must justify why appointing outside directors is not appropriate. Some jurisdictions do not have national corporate governance codes but do make use of national corporate laws or regulations (e.g., Chile) or stock exchange listing requirements (e.g., India) to achieve similar objectives.

The USA does not have a national corporate governance code or law but does have national securities laws (e.g., the Securities Act and the Sarbanes-Oxley Act) that are enforced by a national regulator (the Securities and Exchange Commission). US stock exchanges have listing requirements that include numerous governance provisions, such as the requirement for majority independent boards. Additionally, most US companies are incorporated in a single state, Delaware, which does have state corporate laws that, in effect, serve the same purpose as a national corporate governance code.

Question Set

1. Which of the following is typically used to represent creditors' interests?

A. Ad hoc committee
B. Poison pill
C. Tender offer

Hide Solution

Solution:

A is correct. An ad hoc committee is a group of creditors who approach an issuer in financial distress with options for debt restructuring.

B is incorrect. A poison pill is used to protect shareholders, management, and the board from takeovers that could potentially undervalue the company or are otherwise unwanted.

C is incorrect. A tender offer involves an invitation to shareholders to sell their interests directly to a group seeking to gain control.

2. A primary responsibility of a board's audit committee does not include:

A. oversight of accounting policies.
B. adoption of proper corporate governance.
C. recommending remuneration for the external auditor.

Hide Solution

Solution:

B is correct. The adoption of proper corporate governance is the responsibility of a corporation's governance committee.

A and C are incorrect, because oversight of accounting policies and recommending remuneration for the external auditor are responsibilities of the audit committee.

3. Which of the following is true of shareholder activism?

A. Shareholder activists rarely include hedge funds.
B. Regulators play a prominent role in shareholder activism.
C. A primary goal of shareholder activism is to increase shareholder value.

Hide Solution

issues, shareholder activists' primary motivation is to increase shareholder value.

A is incorrect, because hedge funds commonly serve as shareholder activists.

B is incorrect, because regulators play a prominent role in standard setting, not shareholder activism.

4. True or False: Investors receive information similar in content and form, including audited disclosures, from both private and public companies.

A. True
B. False

Hide Solution

Solution:

False. Private companies disclose information confidentially to their investors, but the content and form of that information are subject to negotiation rather than standardized and regulated like the reporting by public companies. Most jurisdictions do not require that private companies' disclosures be audited, though they are free to obtain an audit.

5. Explain why staggered board elections weaken corporate governance.

Hide Solution

Solution:

Staggered board elections can dilute shareholder voting rights by preventing shareholders from replacing the entire board at any given election. For example, if only 25% of the board is elected per year, it can take an activist three years to replace a majority of the board.

6. A company's compensation committee seeking to discourage excessive risk-taking by managers is *most likely* to design an incentive compensation plan that:

A. allows directors and managers to have greater discretion over their remuneration.
B. includes a variable component comprising stock options contingent on near-term stock performance.
C. grants shares, rather than options, that vest over several years and are subject to minimum holding requirements.

Hide Solution

Solution:

C is correct. Granting shares, rather than options, that vest over several years and must be held discourages "short-termism" or excessive risk-taking by managers.

A is incorrect. By allowing *shareholders* to express their views on remuneration matters, companies can limit the discretion of directors and managers in granting themselves excessive (or inadequate) remuneration, thus not allowing managers to have greater discretion over their own pay.

B is incorrect, because a variable component comprising stock options contingent on near-term stock performance may encourage excessive risk-taking by managers. Stock-based remuneration does not serve its purpose if managers can improve their personal gains at the expense of the company while limiting their exposure to weak stock performance.

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Discussion

What do you want to discuss... (required)

SK

Among the practice questions there is the following question with options:

Which of the following stakeholder groups is "most likely" to have the "highest" risk tolerance with respect to the volatility of a company's performance?

A.Creditors

B.Suppliers

C.Shareholders

The answer according the results is "C" with the following explanation:

C is correct. because shareholders are the most junior class of capital providers; in case of a company bankruptcy, shareholders receive proceeds only after all creditors' claims are paid. In contrast to creditors and suppliers, shareholders generally are inclined to tolerate higher risks in return for higher return potential from strong company performance.

-> my logic and the official answer as well suggest that "shareholders" are the "lowest" risk tolerant group as they may loose it all with least compensation. They are NOT the "highest" risk tolerance group. Therefore there is either the mistake in the question (lowest vs highest) or the options should be adjusted so that if you select "suppliers" than the suppliers are the correct answer (which it is currently not).

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